IB Economics - Topic 4.2: Teacher and AI Grading Guide

Types of Trade Protection | Questions 1-50

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. 40 questions assess SL/HL content; 10 questions are explicitly labelled HL. Difficulty: 10 Easy, 25 Medium, 15 Hard pairs, distributed through the bank. Level and difficulty are independent.

Tariffs, quotas, domestic/export subsidies and administrative barriers; diagrams and stakeholder effects shared SL/HL. Diagram-based welfare and expenditure calculations are HL only.

The uploaded Economics for the IB Diploma textbook (second edition, 2012) was used for conceptual verification. The current guide controls this topic's numbered scope and HL boundaries.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Coverage blueprint

Tariff: Questions 1-10

Quota: Questions 11-20

Subsidy: Questions 21-30

Standards: Questions 31-40

HL tariff: Questions 41-42

HL quota: Questions 43-44

HL subsidy: Questions 45-46

HL welfare: Questions 47-50

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

For each diagram explicitly requested, credit an economically correct alternative with proper axes, equilibrium or reference lines, directions of change, and interpretation. Numerical responses require method, units and an explanation; do not award a final number with a contradictory mechanism.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | SL/HL | 25 marks

Topic 4.2: Tariff

(a) [10] Using an appropriate diagram, explain how an import tariff affects domestic price and import quantity.

(b) [15] Using real-world examples, evaluate whether tariffs are effective at reducing imports.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Tariff raises domestic price above world price and narrows demand minus domestic supply.

Required reasoning. Tariff raises domestic price above world price and narrows demand minus domestic supply.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes tariff from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Tariff raises domestic price above world price and narrows demand minus domestic supply.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why tariff may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | SL/HL | 25 marks

Topic 4.2: Tariff

(a) [10] Using an appropriate diagram, explain how a tariff changes domestic production and consumption.

(b) [15] Using real-world examples, discuss whether domestic producers gain more than consumers lose from a tariff.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Tariff raises domestic price above world price and narrows demand minus domestic supply.

Required reasoning. Higher price raises local supply and reduces consumption, with transfers and efficiency losses.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes tariff from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher price raises local supply and reduces consumption, with transfers and efficiency losses.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why tariff may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | SL/HL | 25 marks

Topic 4.2: Tariff

(a) [10] Explain why a tariff creates government revenue.

(b) [15] Using real-world examples, evaluate whether tariff revenue is an adequate reason to restrict trade.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Tariff raises domestic price above world price and narrows demand minus domestic supply.

Required reasoning. Duty per imported unit times post-tariff imports provides receipts; high rates shrink the base.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes tariff from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Duty per imported unit times post-tariff imports provides receipts; high rates shrink the base.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why tariff may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | SL/HL | 25 marks

Topic 4.2: Tariff

(a) [10] Using a tariff diagram, explain why domestic producers may gain after import duties are imposed.

(b) [15] Using real-world examples, discuss whether protection guarantees the survival of domestic firms.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Tariff raises domestic price above world price and narrows demand minus domestic supply.

Required reasoning. Higher domestic price increases local sales, but costs and competitors can change.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes tariff from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher domestic price increases local sales, but costs and competitors can change.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why tariff may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | SL/HL | 25 marks

Topic 4.2: Tariff

(a) [10] Using a tariff diagram, explain why consumers lose surplus when the price of imports rises.

(b) [15] Using real-world examples, evaluate whether gains to workers can offset consumer losses.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Tariff raises domestic price above world price and narrows demand minus domestic supply.

Required reasoning. Consumers pay more and buy less; distributional effects differ by households and jobs.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes tariff from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Consumers pay more and buy less; distributional effects differ by households and jobs.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why tariff may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | SL/HL | 25 marks

Topic 4.2: Tariff

(a) [10] Explain why a tariff can reduce total welfare despite generating revenue.

(b) [15] Using real-world examples, discuss whether every tariff creates the same efficiency loss.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Tariff raises domestic price above world price and narrows demand minus domestic supply.

Required reasoning. Production and consumption distortions create deadweight loss, dependent on elasticities and size.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes tariff from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Production and consumption distortions create deadweight loss, dependent on elasticities and size.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why tariff may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | SL/HL | 25 marks

Topic 4.2: Tariff

(a) [10] Explain how tariff protection can raise costs for firms using imported components.

(b) [15] Using real-world examples, evaluate whether tariffs on inputs can weaken an export industry.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Tariff raises domestic price above world price and narrows demand minus domestic supply.

Required reasoning. Input costs rise, raising final costs and possibly reducing export competitiveness.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes tariff from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Input costs rise, raising final costs and possibly reducing export competitiveness.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why tariff may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | SL/HL | 25 marks

Topic 4.2: Tariff

(a) [10] Using an appropriate diagram, explain how a lower tariff may affect import competition.

(b) [15] Using real-world examples, discuss whether tariff cuts immediately benefit households.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Tariff raises domestic price above world price and narrows demand minus domestic supply.

Required reasoning. Reduced duty lowers price and expands imports, but pass-through and supply chains take time.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes tariff from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Reduced duty lowers price and expands imports, but pass-through and supply chains take time.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why tariff may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | SL/HL | 25 marks

Topic 4.2: Tariff

(a) [10] Explain why the incidence of a tariff may depend on supply and demand responsiveness.

(b) [15] Using real-world examples, evaluate whether importers always pay the entire tariff.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Tariff raises domestic price above world price and narrows demand minus domestic supply.

Required reasoning. The domestic price and foreign export price may both adjust, sharing burden by elasticities.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes tariff from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. The domestic price and foreign export price may both adjust, sharing burden by elasticities.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why tariff may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | SL/HL | 25 marks

Topic 4.2: Tariff

(a) [10] Explain why a prohibitive tariff can fail to raise revenue.

(b) [15] Using real-world examples, discuss whether high tariff rates always protect more jobs.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Tariff raises domestic price above world price and narrows demand minus domestic supply.

Required reasoning. If imports fall to zero, tariff receipts vanish; downstream costs can harm jobs.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes tariff from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. If imports fall to zero, tariff receipts vanish; downstream costs can harm jobs.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why tariff may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | SL/HL | 25 marks

Topic 4.2: Quota

(a) [10] Using an appropriate diagram, explain how an import quota affects domestic price and import quantity.

(b) [15] Using real-world examples, evaluate whether a quota is more predictable than a tariff.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: A binding import ceiling restricts supply, raising domestic price; volume may be fixed while price varies.

Required reasoning. A binding import ceiling restricts supply, raising domestic price; volume may be fixed while price varies.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes quota from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A binding import ceiling restricts supply, raising domestic price; volume may be fixed while price varies.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why quota may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | SL/HL | 25 marks

Topic 4.2: Quota

(a) [10] Using a quota diagram, explain why domestic producers may expand output.

(b) [15] Using real-world examples, discuss whether quotas always preserve domestic employment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: A binding import ceiling restricts supply, raising domestic price; volume may be fixed while price varies.

Required reasoning. Higher domestic price encourages local production; automation and input effects complicate jobs.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes quota from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher domestic price encourages local production; automation and input effects complicate jobs.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why quota may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | SL/HL | 25 marks

Topic 4.2: Quota

(a) [10] Explain how restricting import volume can create quota rents.

(b) [15] Using real-world examples, evaluate whether quota rents necessarily accrue to the importing country.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: A binding import ceiling restricts supply, raising domestic price; volume may be fixed while price varies.

Required reasoning. Difference between domestic and world price times permitted imports creates rents, allocated by licensing rules.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes quota from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Difference between domestic and world price times permitted imports creates rents, allocated by licensing rules.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why quota may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | SL/HL | 25 marks

Topic 4.2: Quota

(a) [10] Explain why a quota may not generate government revenue.

(b) [15] Using real-world examples, discuss whether auctioning import licences changes the welfare effects of a quota.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: A binding import ceiling restricts supply, raising domestic price; volume may be fixed while price varies.

Required reasoning. Revenue arises if government auctions licences; otherwise rent goes to licence holders or exporters.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes quota from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Revenue arises if government auctions licences; otherwise rent goes to licence holders or exporters.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why quota may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | SL/HL | 25 marks

Topic 4.2: Quota

(a) [10] Using an appropriate diagram, explain how a binding quota changes consumer surplus.

(b) [15] Using real-world examples, evaluate whether quota protection benefits consumers in any circumstances.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: A binding import ceiling restricts supply, raising domestic price; volume may be fixed while price varies.

Required reasoning. Higher price and lower consumption reduce consumer surplus, though protected employment may indirectly help some.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes quota from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher price and lower consumption reduce consumer surplus, though protected employment may indirectly help some.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why quota may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | SL/HL | 25 marks

Topic 4.2: Quota

(a) [10] Explain why a quota's restriction may become tighter when domestic demand rises.

(b) [15] Using real-world examples, discuss whether a quota provides a stable domestic price.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: A binding import ceiling restricts supply, raising domestic price; volume may be fixed while price varies.

Required reasoning. Fixed import quantity means stronger demand raises price and may enlarge quota rents.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes quota from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Fixed import quantity means stronger demand raises price and may enlarge quota rents.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why quota may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | SL/HL | 25 marks

Topic 4.2: Quota

(a) [10] Explain how the allocation of import licences affects the distribution of quota benefits.

(b) [15] Using real-world examples, evaluate whether licensing rules can reduce rent seeking.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: A binding import ceiling restricts supply, raising domestic price; volume may be fixed while price varies.

Required reasoning. Scarce licences convey rents; auction versus allocation determines who captures them.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes quota from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Scarce licences convey rents; auction versus allocation determines who captures them.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why quota may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | SL/HL | 25 marks

Topic 4.2: Quota

(a) [10] Explain why a tariff and quota can have different revenue effects even at the same import volume.

(b) [15] Using real-world examples, discuss which measure governments may prefer when seeking revenue.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: A binding import ceiling restricts supply, raising domestic price; volume may be fixed while price varies.

Required reasoning. Tariff automatically generates duties, whereas quota revenue depends on auctions.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes quota from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Tariff automatically generates duties, whereas quota revenue depends on auctions.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why quota may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | SL/HL | 25 marks

Topic 4.2: Quota

(a) [10] Using a quota diagram, explain how removal of a binding quota can affect domestic supply and imports.

(b) [15] Using real-world examples, evaluate whether quota removal always produces a large fall in price.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: A binding import ceiling restricts supply, raising domestic price; volume may be fixed while price varies.

Required reasoning. Removal increases imports and lowers price if binding, subject to foreign supply and competition.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes quota from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Removal increases imports and lowers price if binding, subject to foreign supply and competition.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why quota may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | SL/HL | 25 marks

Topic 4.2: Quota

(a) [10] Explain why enforcement affects whether an import quota limits trade.

(b) [15] Using real-world examples, discuss whether an announced quota is sufficient to protect a market.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: A binding import ceiling restricts supply, raising domestic price; volume may be fixed while price varies.

Required reasoning. Licensing, evasion and exemptions influence actual traded quantity.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes quota from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Licensing, evasion and exemptions influence actual traded quantity.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why quota may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | SL/HL | 25 marks

Topic 4.2: Subsidy

(a) [10] Using an appropriate diagram, explain how a domestic producer subsidy may change supply and output.

(b) [15] Using real-world examples, evaluate whether subsidies always lower consumer prices.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Lower effective cost shifts supply right, with pass-through dependent on market conditions.

Required reasoning. Lower effective cost shifts supply right, with pass-through dependent on market conditions.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower effective cost shifts supply right, with pass-through dependent on market conditions.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why subsidy may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | SL/HL | 25 marks

Topic 4.2: Subsidy

(a) [10] Using a subsidy diagram, explain how government expenditure arises from support per unit of output.

(b) [15] Using real-world examples, discuss whether a subsidy is an efficient use of public funds.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Lower effective cost shifts supply right, with pass-through dependent on market conditions.

Required reasoning. Spending equals subsidy per unit times subsidised quantity; marginal benefits must justify opportunity cost.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Spending equals subsidy per unit times subsidised quantity; marginal benefits must justify opportunity cost.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why subsidy may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | SL/HL | 25 marks

Topic 4.2: Subsidy

(a) [10] Explain how a subsidy can help domestic producers compete with imports.

(b) [15] Using real-world examples, evaluate whether producer support creates durable competitiveness.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Lower effective cost shifts supply right, with pass-through dependent on market conditions.

Required reasoning. Lower private costs may raise output, but firms can become dependent on support.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower private costs may raise output, but firms can become dependent on support.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why subsidy may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | SL/HL | 25 marks

Topic 4.2: Subsidy

(a) [10] Using an appropriate diagram, explain why a production subsidy can create welfare loss.

(b) [15] Using real-world examples, discuss whether external benefits can justify a subsidy despite its fiscal cost.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Lower effective cost shifts supply right, with pass-through dependent on market conditions.

Required reasoning. If no corrective externality, marginal social cost of extra output can exceed its value.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. If no corrective externality, marginal social cost of extra output can exceed its value.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why subsidy may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | SL/HL | 25 marks

Topic 4.2: Subsidy

(a) [10] Explain how an export subsidy can change exporters' incentives to sell abroad.

(b) [15] Using real-world examples, evaluate whether higher export volumes always improve national welfare.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Lower effective cost shifts supply right, with pass-through dependent on market conditions.

Required reasoning. A payment raises exporters' effective return, encouraging sales while using public funds and possibly raising local prices.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A payment raises exporters' effective return, encouraging sales while using public funds and possibly raising local prices.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why subsidy may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | SL/HL | 25 marks

Topic 4.2: Subsidy

(a) [10] Using an export-subsidy diagram, explain why domestic consumers may pay a higher price.

(b) [15] Using real-world examples, discuss whether export firms' gains outweigh consumers' losses.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Lower effective cost shifts supply right, with pass-through dependent on market conditions.

Required reasoning. Export support can pull supply to foreign market and raise domestic price, subject to country size and market setup.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Export support can pull supply to foreign market and raise domestic price, subject to country size and market setup.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why subsidy may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | SL/HL | 25 marks

Topic 4.2: Subsidy

(a) [10] Explain why export subsidies can provoke responses from trading partners.

(b) [15] Using real-world examples, evaluate whether subsidising exports is sustainable if other countries retaliate.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Lower effective cost shifts supply right, with pass-through dependent on market conditions.

Required reasoning. Foreign producers may face subsidised competition, prompting countervailing actions or disputes.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Foreign producers may face subsidised competition, prompting countervailing actions or disputes.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why subsidy may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | SL/HL | 25 marks

Topic 4.2: Subsidy

(a) [10] Explain how subsidy eligibility rules can influence which domestic producers benefit.

(b) [15] Using real-world examples, discuss whether a subsidy reaches small producers effectively.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Lower effective cost shifts supply right, with pass-through dependent on market conditions.

Required reasoning. Conditions and administrative access determine recipients; larger firms may capture more.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Conditions and administrative access determine recipients; larger firms may capture more.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why subsidy may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | SL/HL | 25 marks

Topic 4.2: Subsidy

(a) [10] Using a subsidy diagram, explain how a subsidy can raise domestic production while increasing public spending.

(b) [15] Using real-world examples, evaluate whether protecting output by subsidy is preferable to a tariff.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Lower effective cost shifts supply right, with pass-through dependent on market conditions.

Required reasoning. A subsidy lowers producers' costs and burdens taxpayers; a tariff raises consumer prices and generates revenue.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A subsidy lowers producers' costs and burdens taxpayers; a tariff raises consumer prices and generates revenue.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why subsidy may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | SL/HL | 25 marks

Topic 4.2: Subsidy

(a) [10] Explain why an export subsidy can change the allocation of resources across industries.

(b) [15] Using real-world examples, discuss whether export promotion necessarily increases total economic efficiency.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Lower effective cost shifts supply right, with pass-through dependent on market conditions.

Required reasoning. Artificial returns pull factors toward subsidised production even if opportunity costs are high.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Artificial returns pull factors toward subsidised production even if opportunity costs are high.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why subsidy may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 31

Easy | SL/HL | 25 marks

Topic 4.2: Standards

(a) [10] Explain how product standards can restrict imports without a formal tariff.

(b) [15] Using real-world examples, evaluate whether all standards are disguised protectionism.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Compliance costs and certification can deter foreign sellers, but standards may protect health or safety.

Required reasoning. Compliance costs and certification can deter foreign sellers, but standards may protect health or safety.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes standards from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Compliance costs and certification can deter foreign sellers, but standards may protect health or safety.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why standards may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 32

Medium | SL/HL | 25 marks

Topic 4.2: Standards

(a) [10] Explain how safety inspections can affect the costs of international trade.

(b) [15] Using real-world examples, discuss whether strict inspection rules necessarily reduce welfare.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Compliance costs and certification can deter foreign sellers, but standards may protect health or safety.

Required reasoning. Delays and documentation add costs, while credible safeguards can prevent harm.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes standards from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Delays and documentation add costs, while credible safeguards can prevent harm.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why standards may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 33

Hard | SL/HL | 25 marks

Topic 4.2: Standards

(a) [10] Explain why a technical regulation may affect small exporters more than large ones.

(b) [15] Using real-world examples, evaluate whether common standards could improve access to markets.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Compliance costs and certification can deter foreign sellers, but standards may protect health or safety.

Required reasoning. Fixed compliance costs weigh more on small firms; harmonisation can reduce duplication.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes standards from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Fixed compliance costs weigh more on small firms; harmonisation can reduce duplication.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why standards may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 34

Medium | SL/HL | 25 marks

Topic 4.2: Standards

(a) [10] Explain how customs procedures can delay entry of imported goods.

(b) [15] Using real-world examples, discuss whether administrative delay is an effective form of protection.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Compliance costs and certification can deter foreign sellers, but standards may protect health or safety.

Required reasoning. Documentation and checks raise time costs, but enforcement may serve legitimate aims.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes standards from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Documentation and checks raise time costs, but enforcement may serve legitimate aims.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why standards may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 35

Medium | SL/HL | 25 marks

Topic 4.2: Standards

(a) [10] Explain how environmental import standards can alter trade flows.

(b) [15] Using real-world examples, evaluate whether such standards always improve global sustainability.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Compliance costs and certification can deter foreign sellers, but standards may protect health or safety.

Required reasoning. Compliance costs alter competitiveness; environmental benefit depends on design and enforcement.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes standards from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Compliance costs alter competitiveness; environmental benefit depends on design and enforcement.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why standards may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 36

Easy | SL/HL | 25 marks

Topic 4.2: Standards

(a) [10] Explain why distinguishing a genuine safety standard from a non-tariff barrier can be difficult.

(b) [15] Using real-world examples, discuss whether all import restrictions should be evaluated solely by their effect on prices.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Compliance costs and certification can deter foreign sellers, but standards may protect health or safety.

Required reasoning. The same rule can protect consumers and disadvantage foreign producers; proportionality matters.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes standards from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. The same rule can protect consumers and disadvantage foreign producers; proportionality matters.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why standards may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 37

Hard | SL/HL | 25 marks

Topic 4.2: Standards

(a) [10] Explain how unequal compliance costs can change the effect of a regulation on imported and domestic goods.

(b) [15] Using real-world examples, evaluate whether equal written rules ensure equal competitive conditions.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Compliance costs and certification can deter foreign sellers, but standards may protect health or safety.

Required reasoning. Different certification and transport costs change effective burden even with identical legal language.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes standards from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Different certification and transport costs change effective burden even with identical legal language.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why standards may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 38

Medium | SL/HL | 25 marks

Topic 4.2: Standards

(a) [10] Explain why quotas and standards have different effects on the maximum import volume.

(b) [15] Using real-world examples, discuss whether non-tariff measures can be more restrictive than a numeric quota.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Compliance costs and certification can deter foreign sellers, but standards may protect health or safety.

Required reasoning. Quota sets a ceiling; standards may raise costs without specifying a fixed quantity.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes standards from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Quota sets a ceiling; standards may raise costs without specifying a fixed quantity.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why standards may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 39

Hard | SL/HL | 25 marks

Topic 4.2: Standards

(a) [10] Explain how regulations can influence the quality and variety of imported goods.

(b) [15] Using real-world examples, evaluate whether limiting unsafe imports must reduce useful consumer choice.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Compliance costs and certification can deter foreign sellers, but standards may protect health or safety.

Required reasoning. Quality screening can remove risky products but also exclude safe varieties through costly compliance.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes standards from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Quality screening can remove risky products but also exclude safe varieties through costly compliance.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why standards may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 40

Medium | SL/HL | 25 marks

Topic 4.2: Standards

(a) [10] Explain why administrative barriers can be difficult to compare with a tariff rate.

(b) [15] Using real-world examples, discuss whether hidden trade costs require more transparency.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Compliance costs and certification can deter foreign sellers, but standards may protect health or safety.

Required reasoning. Procedural time and uncertainty do not translate easily into a uniform ad valorem rate.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes standards from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Procedural time and uncertainty do not translate easily into a uniform ad valorem rate.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why standards may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 41

Easy | HL | 25 marks

Topic 4.2: HL tariff

(a) [10] Using a tariff diagram with world price 10, tariff 2 and post-tariff imports of 30 units, calculate government revenue and explain its area.

(b) [15] Using real-world examples, discuss whether revenue covers the full consumer welfare loss.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Tariff revenue=2*30=60, a rectangle; consumer loss also includes transfers and deadweight loss.

Required reasoning. Tariff revenue=2*30=60, a rectangle; consumer loss also includes transfers and deadweight loss.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl tariff from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Tariff revenue=2*30=60, a rectangle; consumer loss also includes transfers and deadweight loss.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why hl tariff may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 42

Medium | HL | 25 marks

Topic 4.2: HL tariff

(a) [10] Given imports fall from 50 to 30 units after a per-unit tariff of 4, calculate tariff revenue and explain why import volume matters.

(b) [15] Using real-world examples, evaluate whether doubling the tariff rate necessarily doubles revenue.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Tariff revenue=2*30=60, a rectangle; consumer loss also includes transfers and deadweight loss.

Required reasoning. Revenue=4*30=120; the tax base contracts as quantity falls.

Expected diagram or calculation. Use the stated tariff, quota or subsidy rate and relevant post-policy quantity. Label a unit wedge as height and the relevant quantity as width; show rectangle multiplication, correct units and distinguish a transfer/revenue/rent from welfare-loss triangles.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl tariff from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Revenue=4*30=120; the tax base contracts as quantity falls.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why hl tariff may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 43

Hard | HL | 25 marks

Topic 4.2: HL quota

(a) [10] Given a quota of 20 units and a domestic-world price difference of 5, calculate total quota rent and identify potential recipients.

(b) [15] Using real-world examples, discuss whether quota rents improve national welfare.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Rent=20*5=100, accruing to licence holders depending on allocation.

Required reasoning. Rent=20*5=100, accruing to licence holders depending on allocation.

Expected diagram or calculation. Use the stated tariff, quota or subsidy rate and relevant post-policy quantity. Label a unit wedge as height and the relevant quantity as width; show rectangle multiplication, correct units and distinguish a transfer/revenue/rent from welfare-loss triangles.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl quota from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rent=20*5=100, accruing to licence holders depending on allocation.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why hl quota may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 44

Medium | HL | 25 marks

Topic 4.2: HL quota

(a) [10] Using a quota diagram with domestic price 15, world price 10 and imports of 12, calculate potential quota rent.

(b) [15] Using real-world examples, evaluate whether an auctioned quota and a tariff have identical effects.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Rent=20*5=100, accruing to licence holders depending on allocation.

Required reasoning. Rent=(15-10)*12=60; government may capture it by auction but market dynamics can differ.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl quota from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rent=(15-10)*12=60; government may capture it by auction but market dynamics can differ.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why hl quota may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 45

Medium | HL | 25 marks

Topic 4.2: HL subsidy

(a) [10] Given a subsidy of 3 per unit on 40 units, calculate government expenditure and explain its representation in a diagram.

(b) [15] Using real-world examples, discuss whether output gains justify the fiscal expense.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Total spending=3*40=120, rectangle height subsidy and width quantity.

Required reasoning. Total spending=3*40=120, rectangle height subsidy and width quantity.

Expected diagram or calculation. Use the stated tariff, quota or subsidy rate and relevant post-policy quantity. Label a unit wedge as height and the relevant quantity as width; show rectangle multiplication, correct units and distinguish a transfer/revenue/rent from welfare-loss triangles.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Total spending=3*40=120, rectangle height subsidy and width quantity.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why hl subsidy may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 46

Easy | HL | 25 marks

Topic 4.2: HL subsidy

(a) [10] Using a subsidy diagram, explain how to identify the transfer to producers and government spending.

(b) [15] Using real-world examples, evaluate whether a producer subsidy must improve total welfare.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: Total spending=3*40=120, rectangle height subsidy and width quantity.

Required reasoning. Subsidy wedge and new quantity determine outlay; gains can be smaller than cost without an external benefit.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl subsidy from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Subsidy wedge and new quantity determine outlay; gains can be smaller than cost without an external benefit.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why hl subsidy may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 47

Hard | HL | 25 marks

Topic 4.2: HL welfare

(a) [10] Using a tariff diagram, explain why the two deadweight-loss triangles are separate from government revenue.

(b) [15] Using real-world examples, discuss whether a tariff can be justified despite efficiency losses.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: The triangles represent production and consumption distortions; revenue transfers within the economy.

Required reasoning. The triangles represent production and consumption distortions; revenue transfers within the economy.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl welfare from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. The triangles represent production and consumption distortions; revenue transfers within the economy.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why hl welfare may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 48

Medium | HL | 25 marks

Topic 4.2: HL welfare

(a) [10] Using a quota diagram, explain how the allocation of quota rent changes national welfare accounting.

(b) [15] Using real-world examples, evaluate whether licences should be auctioned.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: The triangles represent production and consumption distortions; revenue transfers within the economy.

Required reasoning. Rent captured abroad is a national loss; domestic government auction converts rent into revenue.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl welfare from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rent captured abroad is a national loss; domestic government auction converts rent into revenue.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why hl welfare may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 49

Hard | HL | 25 marks

Topic 4.2: HL welfare

(a) [10] Using a subsidy diagram, explain why the value of extra output may be less than its social cost.

(b) [15] Using real-world examples, discuss whether temporary producer support can still be worthwhile.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: The triangles represent production and consumption distortions; revenue transfers within the economy.

Required reasoning. Beyond efficient output the marginal cost exceeds willingness to pay; temporary adjustment benefits may matter.

Expected diagram or calculation. Domestic price vertically and quantity horizontally; label D, S, domestic equilibrium and the world-price line. For imports world price is below autarky and import quantity is Qd-Qs; for exports it is above and exports are Qs-Qd. For a tariff show Pw+t, new Qs/Qd/imports, revenue rectangle and two loss triangles. For a quota show capped imports, domestic price and quota-rent rectangle. For a subsidy show the per-unit wedge, new output/price and government expenditure rectangle. Only require areas relevant to this question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl welfare from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Beyond efficient output the marginal cost exceeds willingness to pay; temporary adjustment benefits may matter.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why hl welfare may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 50

Medium | HL | 25 marks

Topic 4.2: HL welfare

(a) [10] Explain how the price difference, quantity change and demand-supply slopes affect the size of welfare areas on a trade-protection diagram.

(b) [15] Using real-world examples, evaluate whether the same tariff rate always causes the same welfare loss.

Part (a) - Indicative answer and marking guidance

Essential concepts. Protection alters domestic price, output, imports, consumer/producer surplus and either public revenue, quota rents or subsidy expenditure. Welfare effects depend on the policy and market. Specifically: The triangles represent production and consumption distortions; revenue transfers within the economy.

Required reasoning. Welfare geometry depends on quantities and elasticities, not only the nominal tariff.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl welfare from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Welfare geometry depends on quantities and elasticities, not only the nominal tariff.

Counterargument and conditions. The distribution of rent or revenue, elasticities and enforcement alter the welfare result; a different protection instrument can shift costs. For this focus, consider why hl welfare may have a different effect across countries.

Application and real-world example. Use WTO World Tariff Profiles for a named tariff or non-tariff measure and specify country, product and year. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

IB guide. Current Economics guide, Unit 4 Topic 4.2; syllabus scope, diagrams, calculations and SL/HL boundaries.

Open source

WTO. World Tariff Profiles and non-tariff measures.

Open source

Final checks

50 paired questions; 10 Easy, 25 Medium, 15 Hard; 40 questions assess SL/HL content; 10 questions are explicitly labelled HL. The student paper contains no answers or difficulty labels.